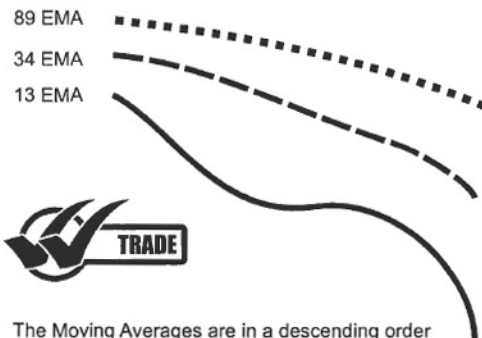


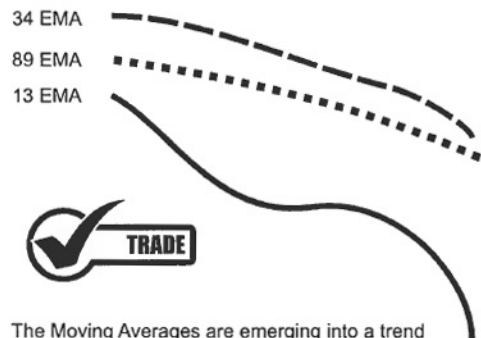
Market Phases

TRENDING Phase (Bearish)



The Moving Averages are in a descending order
89 EMA on top
34 EMA in the middle
13 EMA at the bottom

EMERGING Phase (Bearish)



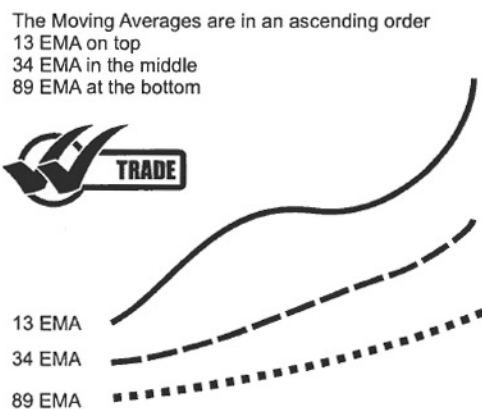
The Moving Averages are emerging into a trend
34 EMA on top
89 EMA in the middle
13 EMA at the bottom

UNORDERED Phase (Bearish)



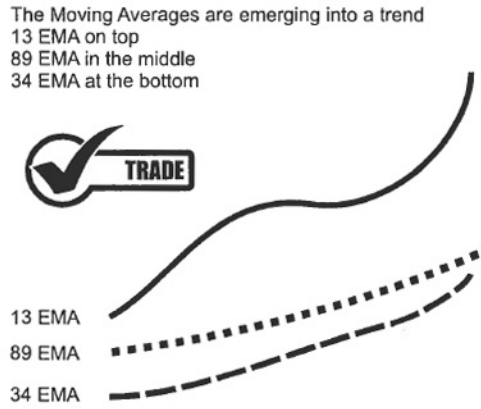
The Moving Averages undecided as to a direction
34 EMA on top
13 EMA in the middle
89 EMA at the bottom

TRENDING Phase (Bullish)



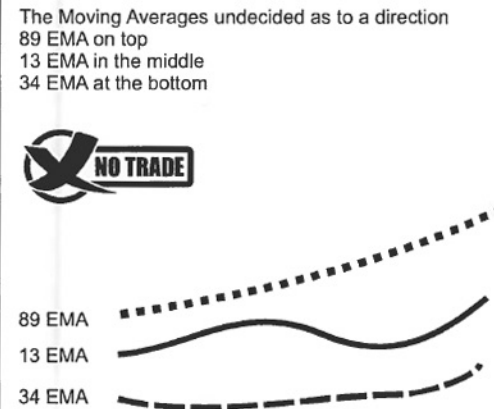
The Moving Averages are in an ascending order
13 EMA on top
34 EMA in the middle
89 EMA at the bottom

EMERGING Phase (Bullish)



The Moving Averages are emerging into a trend
13 EMA on top
89 EMA in the middle
34 EMA at the bottom

UNORDERED Phase (Bullish)



The Moving Averages undecided as to a direction
89 EMA on top
13 EMA in the middle
34 EMA at the bottom

Stop Loss - Placement and Adjustment

Initial Stop Loss Placement

Swing High/Low

1. Short Trade - place stop loss over the most recent definable swing high the market has made.
2. Long Trade - place stop loss under the most recent definable swing low the market made.

Parabolic SAR

1. Short Trade - place stop loss slightly over the entry candle's Parabolic Dot.
2. Long Trade - place stop loss slightly under the entry candle's Parabolic Dot.

Move Stop Loss Towards Entry

As Parabolic dots move towards the entry price, move stop loss to each newly formed dot's position.

1. Short Trade - adjust stop loss to just above (or at) each new lower dot as they appear.
2. Long Trade - adjust stop loss to just below (or at) each new higher dot as they appear.

Move Stop Loss To Break Even

Calculate approximately 70%, or two-thirds, of your initial stop loss in pips (example: 35 pips is 70% of a 50 pip stop loss).

1. Short Trade - move stop loss to break even when price drops 70% of your stop loss (35 pips when initial stop loss is 50 pips).
2. Long Trade - move stop loss to break even when price climbs 70% of your stop loss (35 pips when initial stop loss is 50 pips).

Trailing Stop Loss Into Profit

Parabolic Dots

Move stop loss as each new dot progresses past the entry (break-even) level.

Parabolic / 13 EMA Combination

Move stop loss along which ever is farthest from the price, the PSAR dots or the 13 EMA (these can switch during a trade).

MT4 Platform Trailing Stop

Set your MT4 trailing stop to trigger when price reaches 70% of your initial stop loss and let it trail as price moves in your favour.

Traditional Trailing Stop

Move your stop every time price forms a new swing high (in a short trade) or swing low (in a long trade).

RRM Trade Checklist

Bearish Trend Trade Checklist

Trending Phase

89 EMA
34 EMA
13 EMA



Emerging Phase

34 EMA
89 EMA
13 EMA



Unordered Phase

34 EMA
13 EMA
89 EMA



1. Is the MACD evaluated as =1?
2. Is the Market in either a Bearish Emerging Phase or a Bearish Trending Phase?
3. If YES, has there been a trade setup? (Strong, Medium, Weak)
4. Once we have a trade setup, is the Parabolic SAR over the price?
5. Is there a reason this is not a good trade setup? (time of day, ranging market, etc...)
6. If NO, determine the lot size to trade and...
Enter Short at the close of the candle that is confirmed by all the requirements.
7. Place Stop Loss.
8. Place Take Profit (if you are not planning on trailing your trade with a trailing stop loss).
9. Determine your break-even level (70% of initial stop loss in pips).
10. Trail your stop until you can move it to break-even.
11. Enjoy your profits!

Bullish Trend Trade Checklist

Trending Phase

13 EMA
34 EMA
89 EMA



Emerging Phase

13 EMA
89 EMA
34 EMA



Unordered Phase

89 EMA
13 EMA
34 EMA



1. Is the MACD evaluated as =1?
2. Is the Market in either a Bullish Emerging Phase or a Bullish Trending Phase?
3. If YES, has there been a trade setup (Strong, Medium, Weak))
4. Once we have a trade setup, is the Parabolic SAR under the price?
5. Is there a reason this is not a good trade setup? (time of day, ranging market, etc...)
6. If NO, determine the lot size to trade and...
Enter Long at the close of the candle that is confirmed by all the requirements.
7. Place Stop Loss.
8. Place Take Profit (if you are not planning on trailing your trade with a trailing stop loss).
9. Determine your break-even level (70% of initial stop loss in pips).
10. Trail your stop until you can move it to break-even.
11. Enjoy your profits!

Trade Setups

Bearish Trade Setups

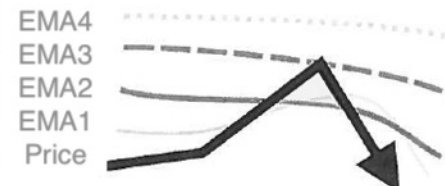
Weak Market Trade

- during Emerging and Trending Phase
- EMA1 under the EMA2
- price pulls back to touch the EMA2
- price closes below the EMA1
- EMA1 never crosses above EMA2 during this setup
- EMA3 and EMA4 should be over the EMA2 to confirm down-trend trades



Medium Market Trade

- during Emerging and Trending Phase
- EMA2 under the EMA3
- price pulls back to touch the EMA3
- price closes below the EMA2
- EMA1 becomes unimportant
- EMA4 should be over EMA3



Strong Market Trade

- during the Trending Phase
- EMA3 under the EMA4
- price pulls back to touch the EMA4
- price closes below the EMA3
- EMA2 should be under the EMA3
- no trades during Unordered Phase



Bullish Trade Setups

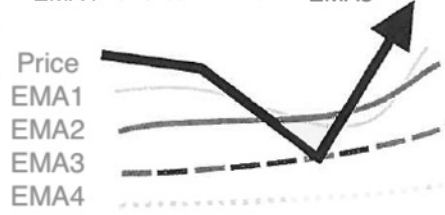
Weak Market Trade

- during Emerging and Trending Phase
- EMA1 over the EMA2
- price pulls back to touch the EMA2
- price closes above the EMA1
- EMA1 never crosses below EMA2 during this setup
- EMA3 and EMA4 should be under the EMA2 to confirm up-trend trades



Medium Market Trade

- during Emerging and Trending Phase
- EMA2 over the EMA3
- price pulls back to touch the EMA3
- price closes above the EMA2
- EMA1 becomes unimportant
- EMA4 should be under EMA3



Strong Market Trade

- during the Trending Phase
- EMA3 over the EMA4
- price pulls back to touch the EMA4
- price closes above the EMA3
- EMA2 should be over the EMA3
- no trades during Emerging Phase

